General Provisions

Article 1
These insurance clauses consist of main coverages and additional coverages.

- Main coverages include:
  - Motor Vehicle Damage Insurance;
  - Motor Vehicle Third-Party Liability Insurance;
  - Motor Vehicle Passenger Liability Insurance.
    These are independent coverages. The policyholder may choose to insure all or part of them. The insurer shall assume liability according to the terms of the insurance contract for the respective coverage(s) selected.
- Additional coverages cannot be purchased independently. In case of conflict between the terms of an additional coverage and the main coverage, the terms of the additional coverage shall prevail. Matters not covered by the additional coverage shall be governed by the main coverage.

Article 2
The insured motor vehicle under this insurance contract refers to a wheeled (including trailers), tracked, or other transport vehicle driven or towed by a power unit, operating on roads within the territory of the People's Republic of China (excluding Hong Kong, Macao, and Taiwan), used for carrying passengers, transporting goods, or specialized operations. It excludes motorcycles, tractors, and special-purpose vehicles.

Article 3
The third party under this insurance contract refers to any person who suffers bodily injury, death, or property damage due to an accident involving the insured motor vehicle, excluding the driver, passengers of the insured vehicle, and the insured.

Article 4
The passenger under this insurance contract refers to any person inside or on the insured motor vehicle at the moment of an accident, including those entering or exiting the vehicle.

Article 5
The rights and obligations of all parties under this insurance contract shall be determined through fair negotiation between the insurer and the policyholder. Both parties voluntarily enter into this contract.

Unless otherwise agreed, the policyholder shall pay the premium in full upon the formation of the contract. The insurance contract shall not take effect until the premium is paid in full.

Chapter 1: Motor Vehicle Damage Insurance

Scope of Coverage

Article 6
During the insurance period, if the insured or the authorized driver (hereinafter referred to as the "driver") causes direct damage to the insured motor vehicle due to natural disasters or accidentswhile using the vehicle, and such damage is not excluded under this contract, the insurer shall compensate according to the terms of this contract.

Article 7
During the insurance period, if the insured motor vehicle is stolen, robbed, or forcibly taken, and the loss remains unresolved after 60 days from the date of filing a police report with the local public security authority at or above the county level, the insurer shall compensate for the total loss or direct damage caused by such incidents, provided they are not excluded under this contract.

Article 8
In the event of an insured incident, necessary and reasonable rescue expenses incurred by the insured or driver to prevent or reduce the loss of the insured motor vehicle shall be borne by the insurer. Such expenses shall be calculated separately from the compensation amount and shall not exceed the sum insured.

Exclusions

Article 9
Under the above coverage, the insurer shall not be liable for any loss or expense arising from the following, regardless of cause:

1. Deliberate destruction, falsification of the accident scene, or destruction of evidence by the insured or driver after the accident;
2. The driver:
   - Commits a hit-and-run;
   - Is under the influence of alcohol, drugs, or other prohibited substances;
   - Drives without a valid license, or during suspension, revocation, or cancellation of the license;
   - Drives a vehicle not permitted by the license.
3. The insured motor vehicle:
   - Has its license or plate revoked at the time of the accident;
   - Is seized, confiscated, or impounded;
   - Is used for racing, testing, or during commercial maintenance;
   - Is used for criminal activities due to intentional or gross negligence by the insured or driver.

Article 10
The insurer shall not be liable for loss or expense caused by:

1. War, military conflict, terrorism, riots, pollution (including radioactive contamination), nuclear reactions, or radiation;
2. Violation of safe loading regulations;
3. Unreported modifications or changes in usage that significantly increase risk;
4. Deliberate fabrication of an insurance claim by the policyholder, insured, or driver.

Article 11
The insurer shall not compensate for:

1. Depreciation due to market fluctuations or post-repair value reduction;
2. Wear and tear, corrosion, mechanical failure, or inherent defects;
3. Late reporting of an accident that hinders investigation;
4. Wheel-only damage, scratches without collision marks, or loss of aftermarket equipment;
5. Partial theft of vehicle parts (non-total theft).

Deductible

Article 12
If an absolute deductible is agreed upon at the time of underwriting, the insurer shall deduct the specified amount from each claim.

Sum Insured

Article 13
The sum insured shall be based on the actual value of the insured motor vehicle at the time of underwriting, determined by negotiation between the policyholder and insurer, accounting for depreciation.

Claims Settlement

Article 14
In the event of an insurance incident, the insurer shall compensate within the scope of coverage as agreed in this contract. The method of compensation shall be negotiated between the insurer and the insured.

Article 15
For the damaged insured motor vehicle, the insured shall consult with the insurer before repairs to determine the repair facility, items, method, and costs. If no agreement is reached, both parties shall jointly appoint a qualified third-party assessor.

Article 16
The residual parts of the damaged insured motor vehicle shall be disposed of through negotiation between the insurer and the insured. If the residual parts are retained by the insured, their value shall be agreed upon and deducted from the compensation.

Article 17
If the damage is caused by a third party, the insurer shall assist the insured in claiming against the third party. Alternatively, the insured may claim directly from the insurer, who shall advance the compensation within the sum insured and then subrogate the right to claim against the third party.

If the insured has already received compensation from the third party, the insurer shall deduct such amount from its payment.

The insurer shall not be liable if the insured waives the right to claim against the third party before receiving compensation from the insurer.

If the insured intentionally or negligently hinders the insurer's subrogation rights, the insurer may reduce or demand repayment of the compensation.

Article 18
Compensation for motor vehicle damage shall be calculated as follows:

1. Total Loss:
   Compensation = Sum Insured - Compensation received from third parties - Absolute Deductible.
2. Partial Loss:
   Compensation = Actual Repair Costs - Compensation received from third parties - Absolute Deductible.
3. Rescue Expenses:
   If the rescued property includes non-insured items, the expenses shall be apportioned based on the insured property's value relative to the total rescued property.

Article 19
If the insured motor vehicle is a total loss or the compensation (excluding rescue expenses) reaches the sum insured, the insurer shall terminate the coverage after payment, without refunding the premium for Motor Vehicle Damage Insurance and its additional coverages.

Chapter 2: Motor Vehicle Third-Party Liability Insurance

Scope of Coverage

Article 20
During the insurance period, if the insured or an authorized driver causes an accident while using the insured motor vehicle, resulting in bodily injury, death, or direct property damage to a third party, and such liability is not excluded under this contract, the insurer shall compensate for the amount exceeding the limits of compulsory traffic accident liability insurance.

Article 21
The insurer shall compensate based on the liability ratio of the insured motor vehicle in the accident.

If the liability ratio is not determined by law or traffic authorities, the following shall apply:

- Primary liability: 70%;
- Equal liability: 50%;
- Secondary liability: 30%.

For disputes resolved through legal or arbitration proceedings, the final judgment or award shall prevail.

Exclusions

Article 22
The insurer shall not be liable for any loss or expense arising from the following, regardless of cause:

1. Deliberate destruction, falsification of the accident scene, or destruction of evidence by the insured or driver after the accident;
2. The driver:
    - Commits a hit-and-run;
    - Is under the influence of alcohol, drugs, or other prohibited substances;
    - Drives without a valid license, or during suspension, revocation, or cancellation of the license;
    - Drives a vehicle not permitted by the license;
    - Is not authorized by the insured.
3. The insured motor vehicle:
    - Has its license or plate revoked at the time of the accident;
    - Is seized, confiscated, or impounded;
    - Is used for racing, testing, or during commercial maintenance;
    - Is stolen, robbed, or missing.

Article 23
The insurer shall not be liable for loss or expense caused by:

1. War, military conflict, terrorism, riots, pollution (including radioactive contamination), nuclear reactions, or radiation;
2. Deliberate acts or criminal behavior by the third party, insured, or driver;
3. Unreported modifications or changes in usage that significantly increase risk.

Article 24
The insurer shall not compensate for:

1. Indirect losses (e.g., business interruption, data loss);
2. Depreciation or post-repair value reduction of third-party property;
3. Property owned by the insured, driver, or their family members;
4. Bodily injury to the insured, driver, or passengers;
5. Fines, penalties, or punitive damages;
6. Medical expenses exceeding national standards;
7. Lawyer fees or unapproved litigation costs;
8. Late reporting of an accident that hinders investigation;
9. Mental distress compensation;
10. Losses covered by compulsory traffic accident liability insurance.

Liability Limits

Article 25
The liability limit per incident shall be agreed upon by the policyholder and insurer at the time of underwriting.

Article 26
When a tractor and trailer are connected, they shall be treated as one unit. The insurer(s) shall compensate proportionally based on the liability limits specified in the policy.

Claims Settlement

Article 27
The insurer may directly compensate the third party for damages caused by the insured or authorized driver.

If the insured delays the claim, the third party may directly request compensation from the insurer.

The insurer shall not compensate the insured if the third party has not been paid.

Article 28
For damaged third-party property, the insured shall consult with the insurer before repairs to determine the repair facility, items, method, and costs. If no agreement is reached, both parties shall jointly appoint a qualified third-party assessor.

Article 29
Compensation shall be calculated as follows:

1. If (Assessed Third-Party Loss - Compulsory Insurance Limit) × Liability Ratio ≥ Liability Limit:
   Compensation = Liability Limit.
2. If (Assessed Third-Party Loss - Compulsory Insurance Limit) × Liability Ratio < Liability Limit:
   Compensation = (Assessed Third-Party Loss - Compulsory Insurance Limit) × Liability Ratio.

Article 30
Medical expenses shall be calculated based on national standards. Unapproved expenses shall not be covered.

Chapter 3: Motor Vehicle Passenger Liability Insurance

Scope of Coverage

Article 31
During the insurance period, if the insured or an authorized driver causes an accident while using the insured motor vehicle, resulting in bodily injury or death to passengers, and such liability is not excluded under this contract, the insurer shall compensate for the legally liable damages.

Article 32
The insurer shall compensate based on the liability ratio of the insured motor vehicle in the accident.

If the liability ratio is not determined by law or traffic authorities, the following shall apply:

- Primary liability: 70%;
- Equal liability: 50%;
- Secondary liability: 30%.

For disputes resolved through legal or arbitration proceedings, the final judgment or award shall prevail.

Exclusions

Article 33
The insurer shall not be liable for any bodily injury or death arising from the following, regardless of cause:

1. Deliberate destruction, falsification of the accident scene, or destruction of evidence by the insured or driver after the accident;
2. The driver:
   - Commits a hit-and-run;
   - Is under the influence of alcohol, drugs, or other prohibited substances;
   - Drives without a valid license, or during suspension, revocation, or cancellation of the license;
   - Drives a vehicle not permitted by the license;
   - Is not authorized by the insured.
3. The insured motor vehicle:
   - Has its license or plate revoked at the time of the accident;
   - Is seized, confiscated, or impounded;
   - Is used for racing, testing, or during commercial maintenance;
   - Is stolen, robbed, or missing.

Article 34
The insurer shall not be liable for bodily injury or death caused by:

1. War, military conflict, terrorism, riots, pollution (including radioactive contamination), nuclear reactions, or radiation;
2. Unreported modifications or changes in usage that significantly increase risk;
3. Deliberate fabrication of an insurance claim by the policyholder, insured, or driver.

Article 35
The insurer shall not compensate for:

1. Self-inflicted injuries by passengers (excluding the driver);
2. Injuries due to illness, childbirth, self-harm, fights, suicide, or criminal acts;
3. Fines, penalties, or punitive damages;
4. Medical expenses exceeding national standards;
5. Lawyer fees or unapproved litigation costs;

6. Late reporting of an accident that hinders investigation;
7. Mental distress compensation;
8. Losses covered by compulsory traffic accident liability insurance.

Liability Limits

Article 36
The liability limit per passenger per incident shall be agreed upon by the policyholder and insurer at the time of underwriting. The number of insured passenger seats shall match the vehicle's rated capacity (excluding the driver's seat).

Claims Settlement

Article 37
Compensation shall be calculated as follows:

1. If (Assessed Passenger Loss - Compulsory Insurance Compensation) × Liability Ratio ≥ Per Passenger Liability Limit:
   Compensation = Per Passenger Liability Limit.
2. If (Assessed Passenger Loss - Compulsory Insurance Compensation) × Liability Ratio < Per Passenger Liability Limit:
   Compensation = (Assessed Passenger Loss - Compulsory Insurance Compensation) × Liability Ratio.

Article 38
Medical expenses shall be calculated based on national standards. Unapproved expenses shall not be covered.

Chapter 4: General Clauses

Insurance Period

Article 39
Unless otherwise agreed, the **insurance period** shall be **one year**, commencing and terminating as specified in the insurance policy.

Claims Notification and Documentation

Article 40

1. In the event of an insurance incident, the **insured or driver** shall:
   - Immediately take **necessary and reasonable measures** to prevent or mitigate loss;
   - Notify the insurer **within 48 hours** of the incident;
   - In case of **theft of the entire vehicle**, additionally file a report with the local public security authority (at or above the county level) **within 24 hours** and notify the insurer.
2. When submitting a claim, the insured shall provide:
   - The **insurance policy**;
   - A **detailed loss statement**;
   - Relevant **expense receipts**;
   - The vehicle's **registration certificate** and **driver's license** at the time of the incident.
3. For **traffic accidents**, the insured shall additionally provide:
   - An **accident report** issued by traffic police or other competent authorities;
   - Legal documents (e.g., court judgments, mediation agreements) if applicable;
   - For accidents settled privately, a **written agreement** compliant with traffic accident handling regulations.
4. For **theft claims**, the insured shall submit:
   - The **insurance policy**;
   - The vehicle's **registration certificate** and proof of legal acquisition;
   - A **theft report** issued by the public security authority.

Article 41
If the insurer deems the claim documentation incomplete, it shall **notify the insured once** to supplement the materials.

Claims Assessment and Settlement

Article 42

1. The insurer shall **promptly assess** the claim upon receipt. For complex cases, assessment shall be completed within **30 days**.
2. The insurer shall notify the insured of the assessment result. If liability is confirmed, compensation shall be paid **within 10 days** after reaching an agreement.
3. If the insurer fails to meet the above timelines, it shall compensate the insured for **additional losses**caused by the delay.

Article 43
If the claim is **denied**, the insurer shall issue a **written rejection notice** within **3 days** of the decision, stating the reasons.

Article 44
For claims unresolved within **60 days**, the insurer shall make an **interim payment** based on verifiable amounts. The final settlement shall adjust for any difference.

Article 45
The insurer's actions (e.g., on-site inspection, loss assessment, legal defense) **do not constitute admission of liability**.

Policy Transfer and Cancellation

Article 46

1. If the insured vehicle is **transferred**, the new owner assumes all rights and obligations under the policy.
2. The insured or new owner must **notify the insurer promptly** to update the policy.
3. If the transfer **significantly increases risk**, the insurer may **adjust premiums** or **terminate the contract** within **30 days** of notification.

Article 47

1. If the policyholder cancels **before the coverage period begins**, the insurer shall refund the premium after deducting a **3% processing fee**.
2. If canceled **after the coverage period begins**, the insurer shall charge a **pro-rata premium** for the elapsed period and refund the balance.

Dispute Resolution

Article 48
Disputes shall be resolved through:

1. **Negotiation**;
2. If unresolved, by **arbitration** (at the institution specified in the policy) or **litigation** in a Chinese court (excluding Hong Kong, Macao, and Taiwan).

Part 1: Exclusion Clauses

Definition:
Exclusions refer to losses or circumstances specified in the insurance contract that are removed from the scope of coverage. The insurer's liability is limited to the coverage specified in the policy, provided that the loss does not fall under the exclusions.

Reasons for Exclusions:

1. **Prohibited by national traffic safety laws and regulations**. Examples include:
    - "Driving under the influence of alcohol, drugs, or other controlled substances."
    - "Driving without a valid license."
    - "Driving a vehicle that does not match the license class."
2. **Lack of historical data for risk assessment and premium calculation**. Examples include:
    - "War, military conflict, nuclear reaction, or nuclear radiation."
3. **Inherent characteristics of the insured subject or market factors**. Examples include:
    - "Depreciation due to market fluctuations or post-repair value reduction."
    - "Natural wear and tear, corrosion, mechanical failure, or inherent defects."
    - "Injuries or deaths of passengers due to illness, childbirth, self-harm, brawls, suicide, or criminal acts."
4. **Coverage available through additional riders for an extra premium**. Examples include:
    - "Standalone wheel damage."
    - "Scratches without visible collision marks."
    - "Loss of newly installed equipment."
    - "Non-medical insurance-covered expenses."
    - "Moral injury compensation."

> Motor Vehicle Damage Insurance

Article 9: Under the above coverage, the insurer shall not be liable for any loss or expense arising from the following circumstances, regardless of cause:

1. The insured or driver intentionally destroys or falsifies the accident scene or evidence.
2. The driver falls under any of the following categories:
    - (1) Fleeing the scene of a traffic accident.
    - (2) Driving under the influence of alcohol, drugs, or other controlled substances.
    - (3) Driving without a valid license, or while the license is suspended, revoked, or confiscated.
    - (4) Driving a vehicle that does not match the license class.
3. The insured vehicle falls under any of the following categories:
    - (1) The vehicle's registration or license plate is canceled at the time of the accident.
    - (2) The vehicle is impounded, confiscated, or seized.
    - (3) The vehicle is used for racing, testing, or is under repair, maintenance, or modification at a commercial facility.
    - (4) The insured or driver intentionally or negligently allows the vehicle to be used for criminal activities.

Article 10: The insurer shall not be liable for loss or expenses caused by the following:

1. War, military conflict, terrorism, riots, pollution (including radioactive contamination), nuclear reaction, or nuclear radiation.
2. Violation of safe loading regulations.
3. Significant increase in risk due to vehicle transfer, modification, or change of use without notifying the insurer.
4. Intentional creation of an insurance incident by the policyholder, insured, or driver.

Article 11: The insurer shall not cover the following losses or expenses:

1. Depreciation due to market fluctuations or post-repair value reduction.
2. Natural wear and tear, corrosion, mechanical failure, or inherent defects.
3. Deliberate or grossly negligent failure to notify the insurer promptly after an incident, hindering loss assessment.
4. Losses that cannot be determined due to the insured's violation of Article 15.
5. Standalone wheel damage, scratches without collision marks, or loss of newly installed equipment.
6. Partial theft (excluding full-vehicle theft).

Note:

- **Article 9** lists **scenario-based exclusions**—no coverage applies if any listed circumstance occurs.
- **Article 10** lists **cause-based exclusions**—losses from specified causes are excluded.
- **Article 11** lists **loss/expense-based exclusions**—certain losses are excluded regardless of cause.
- Sub-items under **Article 9(1), 9(2)(1–4), 9(3)(1), and 10(2)** align with prohibitions in China's *Road Traffic Safety Law*.

> Motor Vehicle Third-Party Liability Insurance

Article 22: Under the above coverage, the insurer shall not be liable for bodily injury, property damage, or expenses arising from the following, regardless of cause:

1. Intentional destruction/falsification of evidence by the insured or driver.
2. Driver-related exclusions (e.g., fleeing, DUI, unlicensed driving, unauthorized drivers).
3. Vehicle-related exclusions (e.g., canceled registration, impoundment, racing, theft).

Article 23: Exclusions based on cause (e.g., war, intentional acts, unapproved vehicle modifications).

Article 24: Exclusions for specific losses (e.g., indirect losses, property depreciation, insured's family members' losses, punitive damages, non-standard medical fees, moral injury compensation).

Note:

- **Article 22**: Scenario-based exclusions.
- **Article 23**: Cause-based exclusions.
- **Article 24**: Loss-based exclusions.

> Motor Vehicle Passenger Liability Insurance

Articles 33–35: Follow a similar structure to above, excluding claims for:

- Intentional acts, unlicensed driving, or excluded vehicle uses.
- War, unapproved modifications, or intentional incidents.
- Passenger self-harm, non-standard medical fees, or moral injury (unless covered by a rider).

> Additional Riders

Rider	Exclusions
Wheel Damage Rider	Natural wear/tear; standalone theft of wheels (non-full-vehicle theft).
Scratch Damage Rider	Intentional acts, disputes, or natural aging.
Engine Water Damage	Excludes engine damage from water ingress.
Cargo Liability	Theft, improper loading, illegal transport, indirect losses.

Part 2: Deductibles

- **Deductible Amount/Rate**: Agreed at policy issuance. Claims are paid after deducting the specified amount/rate.
- **Example**: For a 10% deductible, payout = (Covered Loss) × (1 – 10%).

Part 3: Policy Termination

- Coverage terminates if:
  - The vehicle is a total loss.
  - The insured transfers ownership without notifying the insurer.

Part 4: Other Terms

- Medical expenses are reimbursed per China's *Clinical Guidelines for Traffic Injuries* and basic medical insurance standards.
- Policyholders may purchase riders (e.g., for non-covered medical expenses) for broader protection.

Part 5: Definitions

Term	Definition
Use of Vehicle	Includes driving, parking, and operation—excludes maintenance/towing.
Total Loss	Actual/constructive total loss (repair cost > value).
Family Members	Spouse, parents, children, and cohabiting relatives.
Alcohol Impairment	Blood alcohol ≥20mg/100mL.